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HOUSE . . . . No. 15

So much of the recommendations of the Inspector General (House, No. 11) as relates to retail electricity suppliers (House, No. 15). Telecommunications, Utilities and Energy.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act relative to retail electricity suppliers.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

SECTION 1. Section 1 of chapter 21N of the General Laws, as appearing in the 2022 Official Edition, is hereby amended by inserting after the definition of “carbon dioxide equivalent” the following definition:-

“Clean energy standard”, the clean energy standard, established to assist the Commonwealth in achieving its greenhouse gas emissions reduction goals, pursuant to subsections (c) and (d) of section 3 and sections 4 and 7 of chapter 21N; sections 2, 8 and 16 of chapter 21A; and sections 2C and sections 142A to 142E of chapter 111; promulgated as 310 CMR 7.75.

SECTION 2. Section 12 of chapter 21N of the General Laws, as so appearing, is hereby amended by inserting after the word “21A” in subsection (a) the following words:-

, or pursuant to the department’s authority set forth in section 142A of chapter 111

SECTION 3. Said section 12 of chapter 21N, as so appearing, is hereby amended by striking out subsection (c) and inserting in place thereof the following subsection:-

(c) Compliance with the clean energy standard shall be filed with the department no later than April 1, or the first business day thereafter, of the subsequent year. The department shall invoice retail electricity suppliers for the alternative compliance payment they owe within ten business days following this date with payment due by April 30 or the first business day thereafter. Such invoice shall include information regarding the amount owed, procedures for submitting the required compliance filing and alternative compliance payment, and notice of the penalties facing retail electricity suppliers that fail to submit the required compliance filing and alternative compliance payment, including payment pursuant to subsection (e)(3) of this section. Billing practices shall align with the requirements of the Office of the Comptroller.

In any case where an alternative compliance payment becomes due upon issuance of a notice of non-compliance, the department, in addition to other modes of relief, may direct a civil action to be filed in a superior court on behalf of the commonwealth to collect the debt or enforce the lien of the department under this section with respect to such liability, or to subject any property of whatever nature, of the indebted retail electric supplier, or in which the supplier has any right, title or interest, to the payment of such liability. The commonwealth may also bring an action for injunctive relief in the superior court for any such violation, and the superior court shall have jurisdiction to enjoin such violation and to grant such further relief as it may deem appropriate. Such violations by a retail electricity supplier shall constitute an unfair or deceptive act or practice for purposes of chapter 93A.

SECTION 4. Said section 12 of said chapter 21N, as so appearing, is hereby amended by striking out subsection (e) and inserting in place thereof the following subsection:-

(e)(1) A retail electricity supplier that is not a distribution company as defined in section 1 of chapter 164, must provide annually to the department by January 31 evidence of financial security that:

(i) is in the form of a surety bond or other financial instrument showing evidence of liquid funds, such as a certificate of deposit, an irrevocable letter of credit, a line of credit, a loan or a guarantee;

(ii) the greater of:

(A) $100,000;

(B) 20% of the retail electricity supplier's estimated gross receipts for its first full year of operation; or

(C) 20% of the retail electricity supplier's actual gross receipts for the preceding year of operation, not including revenue from the provision of basic service, for any year after the first year of operation;

(iii) names the department as beneficiary, obligee, or guaranteed party, as applicable and specifies that a notice of default shall be sufficient grounds for the department to withdraw or obtain funds from the surety;

(iv) has an expiration date of not less than one year; and

(v) shall be adjusted annually, if based upon actual or estimated gross receipts.

(2) A retail electricity supplier that fails to meet the requirements of compliance shall submit a plan for achieving compliance for the subsequent three years. The plan shall be filed with the department no later than the April 30 or the first business day thereafter of the year subsequent to the year for which the retail electricity supplier was out of compliance or such date as the department may specify.

(3) In the event that a retail electricity supplier fails to discharge its annual obligation by April 30 or the first business day thereafter under the clean energy standard, as defined in 310 CMR 7.75, the department will notify the retail electricity supplier that it must provide the department with a payment using the financial security of which it provided evidence the prior January 31, unless the retail electricity supplier has an approved alternative payment plan to discharge its annual obligations in full that has been approved by the department prior to April 30. The payment shall, within 30 days of notification by the department, be made in an amount equal to the lesser of:

(i) the amount of alternative compliance payment that the retail electricity supplier must make in order to discharge its annual obligation in full; or

(ii) the full amount of the financial security.

(4) In the event that the collection of financial security results in the collection of an amount of alternative compliance payment that is insufficient to discharge the retail electricity supplier's full annual obligation, the retail electricity supplier will remain in a state of noncompliance, and the department will take the necessary actions to document and enforce this noncompliance.

(5) The department reserves all rights to take any and all appropriate actions to ensure the collection of all alternative compliance payments owed to ensure annual compliance obligations are fully discharged by a retail electricity supplier including, but not limited to, filing a petition with the department of public utilities requesting an investigation into a supplier that is deemed to be in noncompliance by the department.

(6) The department shall adopt regulations consistent with this subsection (e) to allow for its proper administration.

SECTION 5. Section 7 of chapter 25A of the General Laws, as appearing in the 2022 Official Edition, is hereby amended by inserting after the last paragraph the following paragraph:-

Notwithstanding any contrary provision, any retail electricity supplier that violates section 11F or section 11F1/2 of this chapter, including any promulgated regulations for the purposes of effectuating those sections, shall be subject to a civil penalty of not more than twenty-five thousand dollars for each violation. Each day or part thereof that such violation occurs or continues shall be a separate violation. The civil penalty may be assessed in an action brought on behalf of the commonwealth in the superior court. The commonwealth may also bring an action for injunctive relief in the superior court for any such violation, and the superior court shall have jurisdiction to enjoin such violation and to grant such further relief as it may deem appropriate. Such violations by a retail electricity supplier shall constitute an unfair or deceptive act or practice for purposes of chapter 93A.

SECTION 6. Section 11F of chapter 25A of the General Laws, as so appearing, is hereby amended by inserting at the end of subsection (f) the following:-

Such compliance filing shall be made with the department no later than April 1, or the first business day thereafter, of the subsequent year. The department shall invoice retail electricity suppliers for the alternative compliance payment they owe within ten business days following this date, with payment due by April 30 or the first business day thereafter. Such invoice shall include information regarding the amount owed, procedures for submitting the required compliance filing and alternative compliance payment, and notice of the penalties facing retail electricity suppliers that fail to submit the required compliance filing and alternative compliance payment, including payment pursuant to subsection (j)(3) of this section. Billing practices shall align with the requirements of the office of the comptroller.

SECTION 7. Said section 11F of chapter 25A, as so appearing, is hereby amended by inserting after subsection (i) the following subsection:-

(j)(1) A retail electricity supplier that is not a distribution company as defined under section 1 of chapter 164, must provide annually to the department by January 31 evidence of financial security that:

(i) is in the form of a surety bond or other financial instrument showing evidence of liquid funds, such as a certificate of deposit, an irrevocable letter of credit, a line of credit, a loan or a guarantee;

(ii) the greater of:

(A) $100,000;

(B) 20% of the retail electricity supplier's estimated gross receipts for its first full year of operation; or

(C) 20% of the retail electricity supplier's actual gross receipts for the preceding year of operation, not including revenue from the provision of basic service, for any year after the first year of operation;

(iii) names the department as beneficiary, obligee, or guaranteed party, as applicable and specifies that a notice of default shall be sufficient grounds for the department to withdraw or obtain funds from the surety;

(iv) has an expiration date of not less than one year; and

(v) shall be adjusted annually, if based upon actual or estimated gross receipts.

(2) A retail electricity supplier that fails to discharge its annual compliance obligation shall submit a plan for achieving compliance for the subsequent three years. The plan shall be filed with the department no later than April 30 or the first business day thereafter of the year subsequent to the year for which the retail electricity supplier was out of compliance or such date as the department may specify.

(3) In the event that a retail electricity supplier fails to discharge its annual obligation by April 30 or the first business day thereafter under the renewable energy portfolio standard for Class I or Class II, the department will notify the retail electricity supplier that it must provide the department with a payment using the financial security of which it provided evidence the

prior January 31, unless the retail electricity supplier has an approved alternative payment plan to discharge its annual obligations in full that has been approved by the department prior to April 30 or the first business day thereafter. The payment shall, within 30 days of notification by the department, be made in an amount equal to the lesser of:

(i) the amount of alternative compliance payment that the retail electricity supplier must make in order to discharge its annual obligation in full; or

(ii) the full amount of the financial security.

(4) In the event that the collection of financial security results in the collection of an amount of alternative compliance payment that is insufficient to discharge the retail electricity supplier's full annual obligation, the retail electricity supplier will remain in a state of noncompliance, and the department will take the necessary actions to document and enforce this noncompliance.

(5) The department reserves all rights to take any and all appropriate actions to ensure the collection of all alternative compliance payments owed to ensure annual compliance obligations are fully discharged by a retail electricity supplier including, but not limited to, filing a petition with the Department of Public Utilities requesting an investigation into a supplier that is deemed to be in noncompliance by the department.

(6) The department shall adopt regulations consistent with this subsection (j) to allow for its proper administration.

SECTION 8. Section 11F1/2 of chapter 25A of the General Laws, as so appearing, is hereby amended by inserting at the end of subsection (c) the following:-

Such compliance filing shall be made with the department no later than April 1, or the first business day thereafter, of the subsequent year. The department shall invoice retail electricity suppliers for the alternative compliance payment they owe within ten business days following this date with payment due by April 30 or the first business day thereafter. Such invoice shall include information regarding the amount owed, procedures for submitting the required compliance filing and alternative compliance payment, and notice of the penalties facing retail electricity suppliers that fail to submit the required compliance filing and alternative compliance payment, including payment pursuant to subsection (f)(3) of this section. Billing practices shall align with the requirements of the office of the comptroller.

SECTION 9. Section 11F1/2 of chapter 25A of the General Laws, as so appearing, is hereby amended by inserting after subsection (e) the following subsection:-

(f)(1) A retail electricity supplier that is not a distribution company as defined in section 1 of chapter 164, must provide annually to the department by January 31 evidence of financial security that:

(i) is in the form of a surety bond or other financial instrument showing evidence of liquid funds, such as a certificate of deposit, an irrevocable letter of credit, a line of credit, a loan or a guarantee;

(ii) the greater of:

(A) $100,000;

(B) 20% of the retail electricity supplier's estimated gross receipts for its first full year of operation; or

(C) 20% of the retail electricity supplier's actual gross receipts for the preceding year of operation, not including revenue from the provision of basic service, for any year after the first year of operation;

(iii) names the department as beneficiary, obligee, or guaranteed party, as applicable and specifies that a notice of default shall be sufficient grounds for the department to withdraw or obtain funds from the surety;

(iv) has an expiration date of not less than one year; and

(v) shall be adjusted annually, if based upon actual or estimated gross receipts.

(2) A retail electricity supplier that fails to discharge its annual compliance obligations shall submit a plan for achieving compliance for the subsequent three years. The plan shall be filed with the department no later than the April 30 of the year or the first business day thereafter subsequent to the year for which the retail electricity supplier was out of compliance or such date as the department may specify.

(3) In the event that a retail electricity supplier fails to discharge its annual obligation by April 30 or the first business day thereafter under the alternative energy portfolio standard, the department will notify the retail electricity supplier that it must provide the department with a payment using the financial security of which it provided evidence the prior January 31, unless

the retail electricity supplier has an approved alternative payment plan to discharge its annual obligations in full that has been approved by the department prior to April 30 or the first business day thereafter. The payment shall, within 30 days of notification by the department, be made in an amount equal to the lesser of:

(i) the amount of alternative compliance payment that the retail electricity supplier must make in order to discharge its annual obligation in full; or

(ii) the full amount of the financial security.

(4) In the event that the collection of financial security results in the collection of an amount of alternative compliance payment that is insufficient to discharge the retail electricity supplier's full annual obligation, the retail electricity supplier will remain in a state of noncompliance, and the department will take the necessary actions to document and enforce this noncompliance.

(5) The department reserves all rights to take any and all appropriate actions to ensure the collection of all alternative compliance payments owed to ensure annual compliance obligations are fully discharged by a retail electricity supplier including, but not limited to, filing a petition with the department of public utilities requesting an investigation into a supplier that is deemed to be in noncompliance by the department.

(6) The department shall adopt regulations consistent with this subsection (f) to allow for its proper administration.